Deadline Drift

S&P +0.08% as Pakistan extension request trims 1.2% intraday loss. Trump's 8 PM Iran deadline dominates. WTI near $113. Gold +1.0% to $4,732. VIX +6.7%.

THE SESSION

The S&P 500 finished at 6,617, up 0.08%, after trimming a 1.2% intraday loss on reports that Pakistan requested a two-week extension of Trump's 8 PM deadline for Iran. The reversal was sharp and instructive. Through midday, equities were under broad pressure as the President escalated rhetoric on Truth Social, warning that Iranian civilian infrastructure could face strikes by midnight. Tech bore the brunt of the risk-off move: Apple fell nearly 4% on foldable iPhone development setbacks reported by Nikkei, while Nvidia, AMD, and Micron each declined roughly 1%. Tesla dropped over 2%. The Dow lost 85 points (−0.18%) and the Nasdaq eked out a 0.10% gain. The Russell 2000 added 0.17%.

The session's character was defined by two competing narratives: escalation risk from the approaching deadline, and incremental diplomatic signals suggesting the ultimatum may again extend. Pakistan's foreign minister formally requested a two-week delay while urging Tehran to begin reopening the Strait. Iran's position remained unchanged—permanent cessation of hostilities or the waterway stays closed—but the market read the Pakistani intervention as evidence the deadline might pass without the threatened infrastructure campaign. The S&P trimmed its losses from −1.2% at the lows to nearly flat by the close, with energy and defensive names leading the recovery.

Crude oil settled near $113 (WTI) after touching $116 intraday. Gold rose 1.0% to $4,732, reasserting its safe-haven bid. The 10-year yield held at 4.34%, consistent with zero rate cuts priced for 2026. The VIX surged 6.7% to 25.78, reflecting the options market's demand for protection into the overnight window. Bitcoin declined 0.9% to $69,360, continuing to trade sideways through the conflict.

UBS lowered its year-end S&P 500 target to 7,500 from 7,700, citing energy-driven inflation and supply-side constraints that the Fed cannot address with rate policy. Goldman Sachs, meanwhile, noted that the technology sector's valuation premium relative to expected growth has fallen to its lowest level since the 1970s—a setup they characterized as a potential opportunity once geopolitical risk subsides.

IOWN Tactical: The morning brief framed tonight's deadline as a binary event. The session confirmed it: equities fell on escalation rhetoric and recovered on diplomatic signals, all within the same trading day. The portfolio's construction—energy exposure, defense holdings, dividend cash flows—performed as designed through the compression. The binary resolves tonight. The thesis does not depend on which outcome arrives.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

BKH +2.43% DIVIDEND STRATEGY

Black Hills led the dividend sleeve. The utility continues to benefit from its completed 260-mile Wyoming transmission expansion and pending NorthWestern Energy merger. Rate-regulated cash flows and data center demand provide insulation from geopolitical volatility.

CVX +2.20% GROWTH PORTFOLIO

Chevron gained alongside the broader energy complex as WTI touched $116 intraday. The Strait of Hormuz closure continues to provide a structural premium to integrated energy names with domestic production capacity.

CAT +0.44% DIVIDEND STRATEGY

Caterpillar added modestly as the defense spending backdrop and infrastructure demand supported industrials. The stock has gained over 160% in the past year.

ATO +0.47% DIVIDEND STRATEGY

Atmos Energy continued its steady advance. Regulated gas utility earnings are largely immune to the macro cross-currents dominating the broader market.

DECLINERS

A –0.84% DIVIDEND STRATEGY

Agilent Technologies declined with the broader healthcare sector, which lagged on the session. No company-specific catalyst.

ABT –0.46% DIVIDEND STRATEGY

Abbott Laboratories edged lower after Evercore ISI and BTIG both reduced their price targets while maintaining positive ratings. Analysts cited near-term headwinds but reiterated the long-term thesis.

ADP –0.36% DIVIDEND STRATEGY

ADP drifted modestly lower despite recently upgraded guidance and a dividend increase. The pullback appears technical rather than fundamental.

HOLDINGS NEWS

ABT — Evercore ISI and BTIG lowered Abbott price targets. Both firms maintained their positive ratings (Outperform and

Buy, respectively) but trimmed targets, citing macro uncertainty and supply chain cost pressures from elevated energy prices. The thesis on Abbott's medtech and diagnostics portfolio remains intact at both shops.

ADI — CEO stock sale draws attention ahead of Q1 earnings. Analog Devices' chief executive sold shares in a pre-planned transaction. Analysts view the sale as routine; Citi reiterated its bullish stance on the semiconductor name, pointing to the company's earnings power through the cycle.

ADP — Upgraded guidance and dividend hike. Automatic Data Processing recently raised full-year guidance and increased its quarterly dividend, reinforcing the company's position as a steady compounder in the dividend sleeve.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT BOTH

+0.06%

vs. DVY –0.18% | IWS –0.01%

GROWTH PORTFOLIO ✗ TRAIL

+0.23%

vs. IUSG +0.44%

YEAR-TO-DATE

Dividend +6.16% vs DVY +7.45% / IWS +3.97%
Growth –0.86% vs IUSG +6.25%